

Pearson Edexcel

Level 3 GCE

Practice Paper 1A (Moderate)

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided – *there may be more space than you need.*

Information

- The total mark for this paper is **80**.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A and B) before answering Question 1.

Write your answers in the spaces provided.

Extract A

BAKE-IT Ltd

BAKE-IT Ltd is a small artisan bakery operating in three locations across the South West of England. It produces a range of handmade breads, pastries and cakes for local cafés, restaurants and the general public.

Founder Sarah Thompson opened her first bakery 12 years ago. With only one full-time member of staff and limited equipment, the business struggled to cover its fixed costs in the early years. Sarah relied heavily on local word-of-mouth advertising rather than expensive marketing campaigns.

After two years of slow growth, Sarah used retained profit to invest in a small commercial oven, which allowed her to increase production. However, she did not have the funds to develop a wider product range, and rising flour prices placed pressure on profit margins.

By 2015, Sarah had opened her second outlet, this time in a busy market town. She found that demand for premium, handmade baked goods was rising, particularly among consumers who valued local produce. The business now employs 18 full-time staff and operates with three retail outlets.

To remain competitive, BAKE-IT Ltd has more recently invested in a new website and online ordering system. This has helped to grow the customer base, but Sarah has been forced to make difficult decisions about whether to expand further or remain as a small, owner-managed business.

Extract B

Statement of comprehensive income for BAKE-IT Ltd year ending 31 December 2023

	£
Sales revenue	480 000
Cost of sales	264 000
Gross profit	216 000
Expenses	96 000
Operating profit	120 000
Interest and tax	30 000
Profit for the year	90 000
Dividends	40 000
Retained profit	50 000

1 (a) What is meant by the term 'fixed costs'?

(2)

(b) Calculate, to 2 decimal places, the gross profit margin for BAKE-IT Ltd for the year ending 31 December 2023. You are advised to show your working.

(4)

The price of flour, a key ingredient used by BAKE-IT Ltd, has increased significantly.

(c) Using a supply and demand diagram, illustrate the likely impact of this increase in flour prices on the market for handmade baked goods.

(4)



(8)

[illegible]

BAKE-IT Ltd is currently operating as a small, owner-managed firm with only three retail outlets.

(e) Assess the advantages of operating as a small firm for a business such as BAKE-IT Ltd.

(12)

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

(Total for Question 1 = 30 marks)

TOTAL FOR SECTION A = 30 MARKS

SECTION B

Read the following extracts (C and D) before answering Question 2.

Write your answers in the spaces provided.

Extract C

Stretching the limits

Maria Lopez had spent most of her career as a personal trainer working for a large gym chain. Tired of the long commute and feeling she could offer a better service, Maria decided to set up her own small business.

Maria opened FitFlex Studios in a converted warehouse in Bristol. The studio offers a range of group fitness classes including yoga, pilates and high-intensity interval training (HIIT). Customers pay £8 per class or can buy a monthly membership for £55.

To start the business, Maria invested £15 000 of her own savings and took out a small bank loan. She rented equipment rather than buying it outright, which helped to keep her initial costs down. Within six months, FitFlex Studios was attracting 200 regular customers per week.

"I started this business because I wanted to help people feel good about themselves," said Maria. "Of course, I need to make enough money to pay the bills, but my main motivation has always been to provide affordable, high-quality fitness classes for people in my local community."

January and February are typically Maria's busiest months, as customers sign up to new fitness resolutions for the year. However, demand falls in the summer months when many customers are on holiday. To boost demand during quieter months, Maria plans to increase her advertising spend in May 2024 and run a special promotional offer.

Extract D

Cash flow forecast for FitFlex Studios January – April 2024

	Jan	Feb	Mar	Apr
	£	£	£	£
Cash inflow				
Sales revenue	9 600	8 800	7 200	6 400
Total cash inflow	9 600	8 800	7 200	6 400
Cash outflow				
Rent	2 500	2 500	2 500	2 500
Wages	3 800	3 800	3 800	3 800
Other expenses	1 600	1 600	1 600	1 600
Total cash outflow	7 900	7 900	7 900	7 900
Net cash flow	1 700	900	(700)	(1 500)
Opening balance	2 000	3 700	4 600	3 900
Closing balance	3 700	4 600	3 900	2 400

2 (a) What is meant by the term 'variable costs'?

(2)

(b) Explain why FitFlex Studios may have a negative net cash flow in March 2024.

(4)

(c) Calculate, to 2 decimal places, the forecast number of classes attended by FitFlex Studios customers in the first four months of 2024, assuming all sales revenue comes from £8 single-class purchases. You are advised to show your working.

(4)

(d) Discuss the likely impact on the demand curve for FitFlex Studios from the entry of a new competitor offering substitute services at a lower price.

This image shows a full page of blank, lined paper. It features approximately 20 evenly spaced horizontal grey lines across its entire width, providing a guide for handwriting or typing. The paper itself is a clean, off-white color.

[illegible]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

TOTAL FOR SECTION 2: 30 MARKS

SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

Government tobacco taxation in the UK

Tobacco products in the UK are subject to high rates of taxation. The government imposes both excise duty and Value Added Tax (VAT) on cigarettes and other tobacco products. The purpose of these taxes is to reduce smoking rates by making tobacco less affordable, while also raising revenue that can be used to fund public services such as the NHS.

Smoking imposes significant external costs on society, including increased pressure on healthcare services and lost productivity from illness. By making tobacco more expensive, the government aims to discourage consumption and reduce these external costs.

(Source: adapted from gov.uk)

Extract F

High taxes drive growth in illegal tobacco market

A recent study has revealed that approximately 14% of all cigarettes consumed in the UK are now illegal, with smokers turning to the black market to avoid high levels of taxation.

"When taxes are pushed too high, consumers find alternatives," said Dr Helen Carter, an economist who specialises in public health policy. "Many smokers, particularly those on lower incomes, simply cannot afford to pay £15 for a pack of cigarettes. As a result, criminal gangs have stepped in to provide cheaper, smuggled or counterfeit products."

The illegal tobacco trade is estimated to cost the UK government over £2 billion per year in lost tax revenue. Counterfeit cigarettes often contain dangerous levels of harmful chemicals, making them even more damaging to consumers' health than legal alternatives.

Critics also argue that tobacco taxes are regressive, meaning they take a larger proportion of income from lower-income households than from higher-income households. This raises concerns about whether such taxes worsen inequality.

Some health campaigners suggest that more emphasis should be placed on education, public health campaigns and support for those wishing to quit smoking, rather than relying solely on taxation. Others argue that without high taxes, smoking rates would be even higher than they are today.

(Source: adapted from various public health publications)

(20)

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Page 15